IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT – 1

ITEM No. 4 - **C.A.(CAA)/35(AHM)2023**

Order under Sections 230-232 of the Companies Act, 2013

IN THE MATTER OF:
M/s. Sandeep Textile Dyestuff Private Limited
M/s. Sun Links India Private Limited **.....Applicants**

Order delivered on:18/10/2023

Coram:
Mr.Shammi Khan, Hon'ble Member(J)
Mr.Kaushalendra Kumar Singh, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-Sd-
KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-
SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

CA(CAA)No.35/NCLT/AHM/230-232/2023

[Application under Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Merger and Amalgamation

of

Sandeep Textile Dyestuff Private Limited
(Applicant Company No.1/ Transferor Company)

with
Sun Links India Private Limited
(Applicant Company No.2/Transferee Company)

and

Their Respective Shareholders and Creditors

Memo of Parties

M/s. Sandeep Textile Dyestuff Private Limited

[CIN:U17119GJ1979PTC003358]

A Private Limited Company
incorporated under the provisions of
the Companies Act], 1956, having its
registered office at
d-1304 – 1309, 13TH Floor, Sun
Central Palace,
Near Bopal Cross Road,
S.P. Ring, Ambli, Ahmedabad,
Gujarat – 380058.

…… Transferor Company

With

M/s. Sun Links India Private Limited

[CIN:U74999GJ1990PTC013797]

A Company incorporated under the provisions of the Companies Act, 1956, having its registered office at d – 1307 – 1309, 13TH Floor, Sun Central Palace, Near Bopal Cross Road, S.P. Ring Road, Ambli, Ahmedabad, Gujarat – 380058.

…. Transferee Company

Order pronounced on 18/10/2023

Coram: Mr. Shammi Khan, Hon'ble Member (Judicial)
Mr. Kaushalendra Kumar Singh, Hon'ble Member (Technical)

Appearance:

Mr. Alpesh Paliwal, PCS, for the Applicant Companies.

O R DE R

1. The present joint Company Application is filed under Sections 230-232 with other applicable provisions of the Companies Act, 2013 (the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for seeking dispensation of meetings of Equity Shareholders of applicant companies for the purpose of considering and, if thought fit, approving, with or without modification(s), in the proposed

Scheme of Amalgamation in the nature of Merger of M/s. Sandeep Textile Dyestuff Private Limited (Transferor Company) with M/s. Sun Links India Private Limited(Transferee Company) and their respective shareholders and creditors with effect from the Appointed Date i.e. 31.08.2022, as mentioned in the Scheme. This Application was e-filed on 04.02.2023 and physical copy thereof was filed on 08.02.2023.

2. Affidavit in support of the Company Application has been sworn by Mr. Palash Sandeepkumar Dugar on behalf of M/s. Sandeep Textile Dyestuff Private Limited and M/s. Sun Links India Private Limited. He is the authorised representative/ director of Applicant Companies. The aforesaid affidavit is annexed with the Application. The abovenamed authorised representative for the Applicant Companies have been authorised vide Board Resolutions dated 31.08.2022 of the Applicant Companies.

3. The averments made by the Applicant Companies are summarised as under:-

i. The registered office of both the Applicant Companies is situated in the State of Gujarat, under the jurisdiction of the National Company Law Tribunal, Ahmedabad Bench.

ii. The Board of Directors of both the Applicant Companies vide Board Resolution dated 31.08.2022 have approved

the Scheme of Merger of Amalgamation.

iii. M/s. Sandeep Textile Dystuff Private Limited (Transferor Company) is a private limited company, limited by shares, incorporated on 06.04.1979 under the provisions of the Companies Act, 1956 and its registered office is situated in the State of Gujarat.

The Share Capital of the Transferor Company pre-amalgamation would be as follows:-

Authorised Share Capital	**(In Rupees)**
10,000 Equity Shares of Rs. 100/- each	10,00,000.00/-
Total	10,00,000.00/-

Issued, Subscribed and Paid up Share Capital	**(In Rupees)**
10,000 Equity Shares of Rs. 100/- each	10,00,000.00/-
Total	10,00,000.00/-

Post amalgamation of the Companies, the ***M/s. Sandeep Textile Dyestuff Private Limited*** will be merged into the ***M/s. Sun Links India Private Limited*** and therefore, it will cease to exist and therefore there will not be

shareholding of the transferor Company thereafter.

iv. The Transferor Company has filed its Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its audited financial statement for the year ended 31.3.2022.

v. The Transferor Company has three (3) Equity Shareholders

as on 31.08.2022 and all the equity shareholders have given their consent in writing, in the form of affidavits, approving the Scheme of Amalgamation and thereby waiving their right to convene meetings of Equity Shareholders of the Transferor Company. The Consent Affidavits of Equity Shareholders of the Transferor Company are placed on record. Hence, the Transferor Company is seeking dispensation of meeting of the Equity Shareholders.

vi. The Transferor Company does not have Secured Creditors and Unsecured Creditors as at 31.08.2022. Copy of certificate issued by Mr. Pallav P. Dave, CA (Partner of SPD & Company) of Transferor Company dated 07.01.2023 certifying that the Transferor Company does

not have Secured Creditors and Unsecured Creditors as at 31.08.2022 is produced at Annexure-N to the application. Since there are no secured and unsecured creditors in the Transferor Company, the meeting of Secured Creditors and Unsecured Creditors of Transferor Company is not required to be held.

vii. M/s. Sun Links India Pvt. Ltd. (Transferee Company) is a private limited company, limited by shares, incorporated on 22.05.1990 under the provisions of the Companies Act, 1956 and its registered office is situated in the State of Gujarat.

The Share Capital of the Transferee Company pre-amalgamation would be as follows:-

Authorised Share Capital	**(In Rupees)**
4,30,000 Equity Shares of Rs. 10/- each	43,00,000.00/-
Total	43,00,000.00/-

Issued Subscribed and Paid up Share Capital	**(In Rupees)**
1,00,000 Equity Shares of Rs. 10/- each	10,00,000.00/-

Total	10,00,000.00/-

The Share Capital of the transferee Company i.e. **M/s. Sun Links India Private Limited** post-amalgamation would be as follows:

Authorised Share Capital	**(In Rupees)**
5,30,000 Equity Shares of Rs. 10/- each	53,00,000.00/-
Total	53,00,000.00/-

Issued, Subscribed and Paid up Share Capital	**(In Rupees)**
4,30,000 Equity Shares of Rs.10/- each	43,00,000.00/-
Total	43,00,000.00/-

viii. The Transferee Company has filed its Memorandum of Association and Articles of Association inter alia delineating their object clauses, along with its audited financial statement for the year ended 31.3.2022.

ix. The Transferee Company has three (3) Equity Shareholders as on 31.08.2022 and all the equity shareholders have given their consent in writing, in the form of affidavits, approving the Scheme of Amalgamation and thereby waiving their right to convene meetings of Equity

Shareholders of the Transferor Company. The Consent Affidavits of Equity Shareholders of the Transferor Company are placed on record. Hence, the Transferor Company is seeking dispensation of meeting of the Equity Shareholders.

x. The Transferee Company does not have Secured Creditors and Unsecured Creditors as at 31.08.2022. Copy of certificate issued by Mr. Pallav P. Dave, CA (Partner of SPD & Company) of Transferor Company dated 07.01.2023certifying that the Transferor Company does not have Secured Creditors and Unsecured Creditors as at 31.08.2022 is produced at Annexure-P to the application. It is further submitted that since there are no secured and unsecured creditors in the Transferor Company, the meeting of Secured Creditors and Unsecured Creditors of Transferor Company is not required to be held.

xi. Both the Companies are under the same management and are having same shareholders and hence management of the Company has decided to amalgamate the said Companies to broaden the capital base, reduce duplication of several overhead expenses and formalities, improving the efficiency and economic viability and thus

improving overall profitability and growth of resultant Companies.

xii. The Applicant Companies have annexed accounting treatment specified in the Scheme of Merger of Amalgamation which are in conformity with the applicable accounting standards prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and certificates issued by the statutory auditors are placed on record.

xiii. No investigation or proceedings under the Companies Act, 1956 / Companies Act, 2013 have been instituted or are pending in relation to Applicant Companies.

xiv. Notice to RBI is not required as the Transferor Company is not a financial company.

xv. The Transferor Company is family managed company and it is not having nationwide presence and it is fully complied with Sections 5,6 and/or any other applicable provisions of the Companies Act, 2002 and therefore, there is no need to refer the application to Competition

Commission of India.

xvi. There is no reduction of share capital of the company included in the compromise or arrangement.

xvii. The Scheme is not involving corporate debt restructuring.

xviii. Copy of the Valuation Report dated 31.08.2022, issued by Mr. Sunil Nyati, Swastika Investment Limited, SEBI Registered Category I Merchant Banker (Registration Number: INM000012102), Registered Valuer, is annexed with the Company Application as Annexure-K.

xix. The proposed Scheme of Merger and Amalgamation is annexed to the application as Annexure-I.

xx. The rationale of the Scheme of Merger of Arrangement involving Merger stated in the proposed Scheme is as under:-

a. *The Transferor Company and the Transferee Company are under the same management and having same shareholders.*

b. *The amalgamation of the Companies would broaden the capital base of the resultant unit which can diversify into various other profitable businesses*

keeping in mind the changed economic and business conditions and opportunities in India.

c. *The amalgamation would substantially reduce duplication of several overhead expenses and formalities and will lead to economy in administrative and management costs and improving overall profitability.*

d. *The amalgamation of the Transferor Company and the Transferee Company would also improve profitability by improving the efficiency and economic viability of the resultant undertaking as it will have the advantage of larger scale of financial management and more resources will be available for the activities of the new undertaking.*

e. *The combined managerial and financial resources of the Companies would enhance the capability of the resultant unit and to ensure rapid growth and would consolidate the strategie strength of the amalgamated Company.*

f. *A larger Company would generate more confidence amongst the persons dealing with the Company and will afford access to resources easily and at lower costs.*

g. *The amalgamation will be advantageous to both the Companies, their respective shareholders and all other concerned.*

h. *The amalgamation of Companies would transfer the losses of Transferor Company and shall be carry forwarded by Transferee Company. All the benefits vested in Transferor Company shall be transferred to Transferee Company.*

4. Head Learned Counsel for the Applicant Companies and perused the Company Application and the documents annexed therewith. It appears that the present Company Application complies with all provisions of Sections 230-232 of the Companies Act, 2013 and Rules provided thereunder. Taking into consideration the submissions and the documents filed therewith, the present joint Company Application is allowed with the following order/ directions:-

i. The meetings of Equity Shareholders of the Applicant Companies are hereby dispensed with in view of the consent affidavits attached with the application.

ii. The meetings of Secured Creditors and Unsecured Creditors of Applicant Company are not required to be convened as there are no Secured and Unsecured creditors in the Applicant Companies.

iii. In compliance of subsection (5) of Section 230 and Rule 8

of the Companies (CAA) Rules, 2016, the Applicant Companies shall send a notice in Form No. CAA.3 along with copy of the Scheme of Merger of Amalgamation: to (i) the Central Government through the Regional Director, North Western Region; (ii) the Registrar of Companies; (iii) the Income Tax Authority concerned and (iv) the Official Liquidator (for Transferor Company) stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the Scheme. The aforesaid regulatory authorities, who desire to make representations, if any, under sub-section (5) of Section 230 shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the Scheme.

5. This Company Application is disposed of accordingly, in terms of the above order.

-Sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

Stancy-Steno